

₹1.03 lakh crore. Over the years, the number of taxpayers under the indirect tax levy has nearly trebled to 14.6 million at present from just 5.95 million when it was launched.

Commenting on the April data, Union Finance Minister Nirmala Sitharaman noted that GST has improved tax buoyancy from 0.72 (pre-GST) to 1.22 (2018-23). “Despite compensation ending, state revenues remain buoyant at 1.15,” she said in a post on X (formerly known as Twitter).

She emphasised that even though the GST rate is lower than the prescribed revenue neutral rate and the

reflecting a buoyant marketplace. Moreover, experts underscore that April’s surge in collection figures is not solely a product of ongoing economic vibrancy but is also influenced by year-end compliances and a concerted effort to enhance overall compliance standards. They also point out that typically April of every year registers a jump in the mop-up from the levy.

Sacchidananda Mukherjee, Professor at the think tank National Institute of Public Finance and Policy, is of the opinion that the ₹2.1 lakh crore revenue

Prior to this, the collection from GST hit its highest ever mark in April 2023 at ₹1.87 lakh crore and before that in April 2022 at ₹1.68 lakh crore.

Explaining this, M.S. Mani, Partner at Deloitte India, points out that these collections could be the tipping point in the GST collection trajectory. “While some part of the increased collections are attributable to the financial year-end upswing, it is also reflective of the significant improvements in GST compliance by businesses,” he says, adding that the relentless focus on GST audits by both central and state GST au-

GOING FORWARD

1 GST collection surpassed the ₹2 lakh crore milestone in April 2024, the highest since its inception

2 Year-end filings and enhanced compliance efforts are the two leading factors propelling GST revenue forward

3 The number of taxpayers under GST has also nearly tripled to 14.6 million presently, from 5.95 million at its launch

4 Trade and industry stakeholders anticipate more GST reforms, such as better tax structures and smoother appeals processes

impact of Covid-19 has affected revenues, the tax collections (as a percentage of GDP) have now rebounded to pre-GST levels in both net and gross terms.

An important point to underscore here is that the dynamism of GST revenues has markedly strengthened, which is evident in the consistent average monthly run rate of ₹1.5 lakh crore observed in the previous fiscal. This uptrend in GST collections can be attributed to several factors. To begin with, the sustained momentum in economic activities has played a pivotal role,

collection in April was mainly due to the fact that businesses had filed returns for the year ending 2023-24 as March was the last month of the fiscal.

“Inflation is another factor due to which GST revenues have been high. The tax administration has also been using information to target offenders and increase compliance,” says Mukherjee, adding that he is not very confident that a ₹2 lakh crore-plus revenue collection every month from GST is possible. It is likely to have fallen again the very next month.

thorities, together with the periodic drives to stamp out evasion, has led to a large increase in the focus on GST compliance spread across businesses throughout the country.

Data on e-way bills, that are issued for transport of goods above ₹50,000 by GST-registered persons, indicate that the volume of these have eased marginally. In April 2024, 96.6 million e-way bills were issued as against 103.5 million in March. May’s tax collection numbers will be based on the transactions in April, including those through the e-way bills.